



ARU investment approval and stock-purchase agreement summary

Document ID: SH-IND-ARU-SPA-001 | **Version:** 1.0.0

Event/effective date: 2025-12-19 | **Available to case company:** 2025-12-19

Created at: 2026-09-05T22:16:52-07:00 | **Publication cutoff:** 2026-09-05T23:59:59-07:00

Fictional authors: Sable Harbor board secretary function and transaction counsel function

Record origin: SYNTHETIC_COMPANY_RECORD | **Evidence state:** SYNTHETIC_RECONSTRUCTED internal approval/instrument summary

Decision state: LOCKED_CANON headline terms; LOCKED_DERIVED_IMPLEMENTATION covenants and exact paper dates

Buyer approval — December 17

The existing unitary board approves SHIH's acquisition of all ARU shares at \$62M enterprise value, with the reconciled debt/cash bridge, \$22.5M new term financing and \$39M parent equity before fees. The derived \$1.2M transaction/financing cash fees are incremental. A separate \$11M equity-funded catch-up program is authorized by asset and timing, not added to purchase consideration or funded with extra acquisition debt.

The board considers the railway's thin post-maintenance cash contribution, nonrail contract margins, customer concentration, environmental/claim exposure and succession. It retains the dissent described in the [diligence memo](#). Approval does not require a synergy quota, acquisition-driven headcount cuts or future Red Wash revenue. The reconstructed minute does not invent a unanimous roll-call or a new board/committee architecture.

Definitive agreement — December 19

Parties and transfer. Buyer is Sable Harbor Industrial Holdings, Inc.; target is American Resource Utility, Inc.; sellers are Fred Tolman, Adele Tolman, Nora Ashcombe and Seth Kettering. Every share transfers at the January 7 closing. There is no rollover, earn-out, statutory merger, or purchase of Red Wash in this instrument.

Consideration. Enterprise value is \$62M. The debt/cash bridge produces \$49.5M seller equity value before the \$1.5M excess-cash distribution, leaving \$48M buyer-funded consideration: \$45M direct payment plus \$3M escrow. The final bridge uses the source schedules; fees, retained leases and post-close capital are not counted again as seller proceeds.

Working capital. The derived peg is \$4.5M, measured as eligible receivables + inventory + operating prepayments less trade payables and ordinary operating accruals. Cash, debt/finance leases, income taxes, environmental reserve and the separately scheduled larger claim are excluded to avoid double counting. Buyer submits the closing statement within 60 days; sellers have 30 days to object with line-level reasons; unresolved accounting disputes go to an independent accountant limited to disputed items. Adjustments are dollar-for-dollar.

Representations and disclosure. Sellers represent title to shares, capitalization, tax status, authority, financial records, identified contracts, labor arrangements, environmental matters, claims and disclosed assets. The information standard does not convert management forecasts into guaranteed results. Known defects stay in disclosure schedules and the operating model.

Risk allocation. General representations survive eighteen months, to July 7, 2027. The derived environmental

survival period is five years, to January 7, 2031. The \$3M escrow is part of ARU consideration and is separate from Red Wash's \$3M escrow. Known environmental accrual is assumed; undisclosed environmental matters receive the extended seller protection. The larger identified claim has a \$0.6M closing accrual and a specific seller indemnity for covered adverse development above that amount. Recovery cannot exceed actual covered loss and cannot be duplicated across insurance, escrow and seller recovery.

Conduct and closing conditions. ARU operates in the ordinary course until close. Closing requires stock-transfer documents, debt payoff/release arrangements, retained lease treatment, material consents, management authority/retention documents, tax-election cooperation and bring-down of the disclosed condition set. No fabricated regulatory order or government certificate substitutes for a jurisdiction assessment.

Post-close authority. Nora Ashcombe becomes ARU President/COO; Seth Kettering remains BS&T GM. Fred loses all line authority and performs knowledge transfer only. Existing property CBAs continue. The \$500k retention pool and \$225k consulting agreement are separate employment/service arrangements, not hidden stock consideration.

Tax cooperation. All four sellers and buyer join the intended §338(h)(10) election. Parties use a consistent agreed allocation subject to the source tax model and legal requirements, preserve records, cooperate on returns and allocate seller-period tax obligations explicitly. [Tax memorandum](#).

This summary creates substantive synthetic contract terms for the case. It is not legal advice or an executed agreement between real persons, and it contains no fabricated signatures, tax IDs or official approvals.